



FEDERAL RETIREMENT THRIFT INVESTMENT BOARD  
77 K Street NE, Washington, DC 20002

MEMORANDUM FOR BOARD MEMBERS

GERBER, BILYEU, BRIDGES,  
AND OLIVARES

FROM: Sean McCaffrey, Chief Investment Officer

DATE: January 27, 2026

SUBJECT: December 2025 Investment Program Review

**INTRODUCTION**

This report reviews key aspects of the TSP's investment program, including performance, benchmark differences, interfund transfer activity, and participant allocations.

**RETURNS AND BENCHMARK DIFFERENCES**

The tables below contain the monthly and year-to-date (YTD) returns and benchmark differences for the F, C, S, and I Funds and for the separate accounts managed by BlackRock and State Street. Due to rounding, the benchmark differences may not match the differences in displayed returns.

***December 2025 Returns and Benchmark Differences***

|                             |                       | <b><u>Fixed Income</u></b> | <b><u>Large Cap</u></b> | <b><u>Small Mid Cap</u></b> | <b><u>International</u></b> |
|-----------------------------|-----------------------|----------------------------|-------------------------|-----------------------------|-----------------------------|
|                             |                       | <b><u>(F Fund)</u></b>     | <b><u>(C Fund)</u></b>  | <b><u>(S Fund)</u></b>      | <b><u>(I Fund)</u></b>      |
| <b>Return</b>               | <b>Index</b>          | -0.15%                     | 0.06%                   | -0.53%                      | 3.28%                       |
|                             | <b>BlackRock</b>      | -0.26%                     | 0.06%                   | -0.53%                      | 2.99%                       |
|                             | <b>State Street</b>   | -0.27%                     | 0.06%                   | -0.53%                      | 3.27%                       |
|                             | <b>TSP Fund (Net)</b> | -0.26%                     | 0.06%                   | -0.53%                      | 3.04%                       |
| <b>Benchmark Difference</b> | <b>BlackRock</b>      | -0.11%                     | 0.00%                   | 0.00%                       | -0.29%                      |
|                             | <b>State Street</b>   | -0.12%                     | 0.00%                   | 0.00%                       | -0.01%                      |
|                             | <b>TSP Fund</b>       | -0.11%                     | 0.00%                   | 0.00%                       | -0.23%                      |

BlackRock's performance for the F Fund lagged the index by 11 basis points, primarily due to a difference in the timing of pricing by the index provider and by BlackRock on the last trading day of December 2025. Its performance for the C and S Funds was in line with the Funds' respective indices for the month. For the I Fund, BlackRock's performance lagged the International Index by 29 basis points, primarily due to fair value pricing.

State Street's performance for the F Fund lagged the index by 12 basis points, primarily due to a difference in the timing of pricing by the index provider and by State Street on the last trading day of December 2025. Its performance for the C, S, and I Funds was in line with the Funds' respective indices for the month.

## 2025 Annual Returns and Benchmark Differences

|                             |                       | <u>Fixed Income</u> | <u>Large Cap</u> | <u>Small Mid Cap</u> | <u>International</u> |
|-----------------------------|-----------------------|---------------------|------------------|----------------------|----------------------|
|                             |                       | <u>(F Fund)</u>     | <u>(C Fund)</u>  | <u>(S Fund)</u>      | <u>(I Fund)</u>      |
| <b>Return</b>               | <b>Index</b>          | 7.30%               | 17.88%           | 11.32%               | 32.01%               |
|                             | <b>BlackRock</b>      | 7.24%               | 17.88%           | 11.40%               | 32.49%               |
|                             | <b>State Street</b>   | 7.25%               | 17.88%           | 11.44%               | 32.55%               |
|                             | <b>TSP Fund (Net)</b> | 7.21%               | 17.85%           | 11.38%               | 32.45%               |
| <b>Benchmark Difference</b> | <b>BlackRock</b>      | -0.06%              | 0.00%            | 0.08%                | 0.48%                |
|                             | <b>State Street</b>   | -0.05%              | 0.00%            | 0.12%                | 0.53%                |
|                             | <b>TSP Fund</b>       | -0.09%              | -0.03%           | 0.05%                | 0.44%                |

For 2025, BlackRock's performance for the F Fund lagged the Fixed Income Index by 6 basis points, primarily due to a difference in the timing of pricing by the index provider and by BlackRock on the last trading day of December 2025. Its performance for the C Fund was in line with the Large Cap Index. For the S Fund, BlackRock's performance was ahead of the Small Mid Cap Index by 8 basis points, primarily due to securities lending. BlackRock's performance for the I Fund was ahead of the International Index by 48 basis points, primarily due to tax advantage and fair value pricing.

For 2025, State Street's performance for the F Fund lagged the Fixed Income Index's return by 5 basis points, primarily due to a difference in the timing of pricing by the index provider and by BlackRock on the last trading day of December 2025. Its performance for the C Fund was in line with the Large Cap Index. For the S Fund, State Street was ahead of the Small Mid Cap Index by 12 basis points, primarily due to securities lending and securities sampling. For the I Fund, State Street was ahead of the International Index by 53 basis points, primarily due to tax advantage and fair value pricing.

**Annualized Net Returns as of December 31, 2025**

|               | <b>1-Year</b> | <b>3-Year</b> | <b>5-Year</b> | <b>10-Year</b> |
|---------------|---------------|---------------|---------------|----------------|
| <b>G Fund</b> | 4.44%         | 4.36%         | 3.48%         | 2.76%          |

|                                    | <b>1-Year</b> | <b>3-Year</b> | <b>5-Year</b> | <b>10-Year</b> |
|------------------------------------|---------------|---------------|---------------|----------------|
| <b>F Fund</b>                      | 7.21%         | 4.67%         | -0.30%        | 2.11%          |
| <b>Bloomberg US Agg Bond Index</b> | 7.30%         | 4.66%         | -0.36%        | 2.01%          |
| <b>Benchmark Difference</b>        | -0.09%        | 0.01%         | 0.07%         | 0.10%          |

|                             | <b>1-Year</b> | <b>3-Year</b> | <b>5-Year</b> | <b>10-Year</b> |
|-----------------------------|---------------|---------------|---------------|----------------|
| <b>C Fund</b>               | 17.85%        | 22.96%        | 14.39%        | 14.79%         |
| <b>S&amp;P 500 Index</b>    | 17.88%        | 23.01%        | 14.42%        | 14.82%         |
| <b>Benchmark Difference</b> | -0.03%        | -0.04%        | -0.03%        | -0.03%         |

|                                          | <b>1-Year</b> | <b>3-Year</b> | <b>5-Year</b> | <b>10-Year</b> |
|------------------------------------------|---------------|---------------|---------------|----------------|
| <b>S Fund</b>                            | 11.38%        | 17.73%        | 6.24%         | 11.04%         |
| <b>Dow Jones US Completion TSM Index</b> | 11.32%        | 17.59%        | 6.06%         | 10.87%         |
| <b>Benchmark Difference</b>              | 0.05%         | 0.14%         | 0.17%         | 0.17%          |

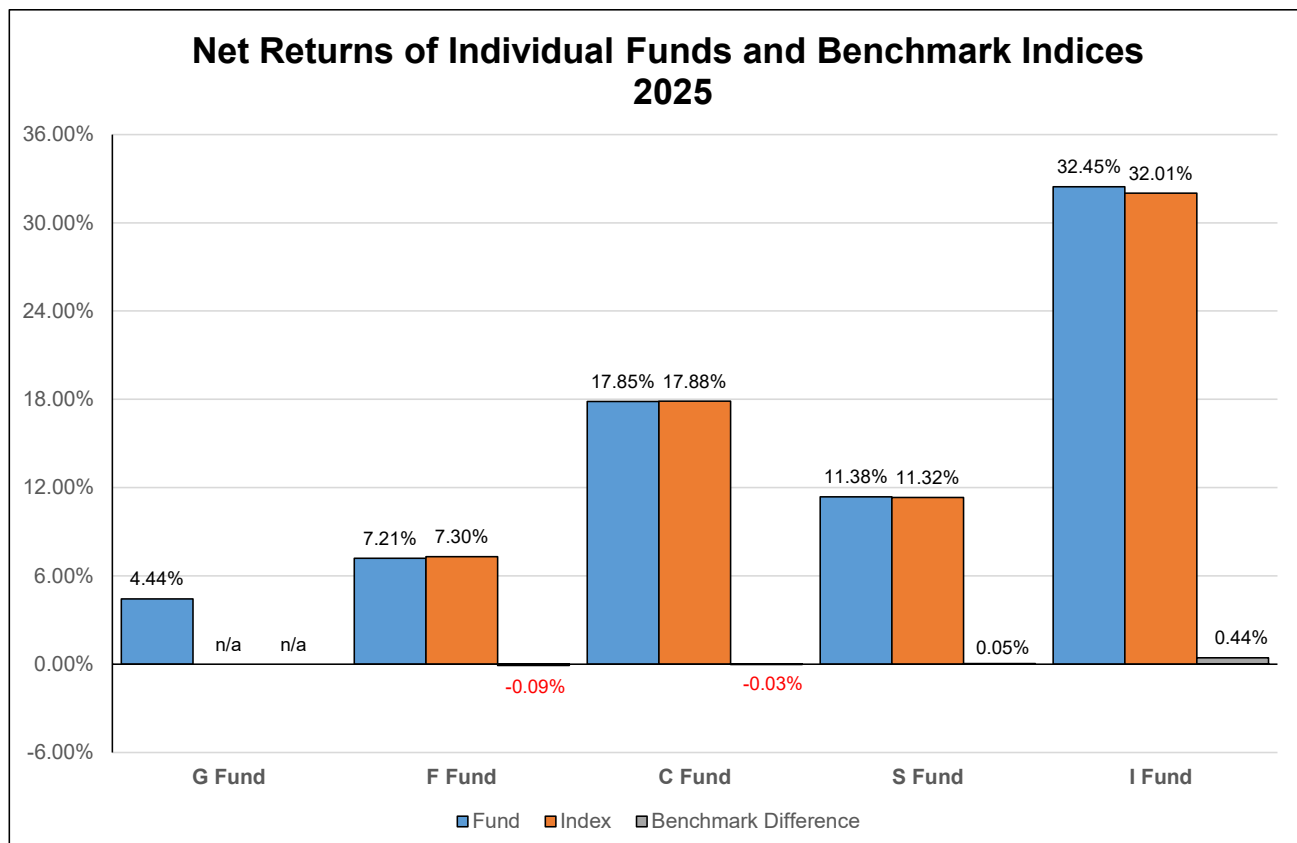
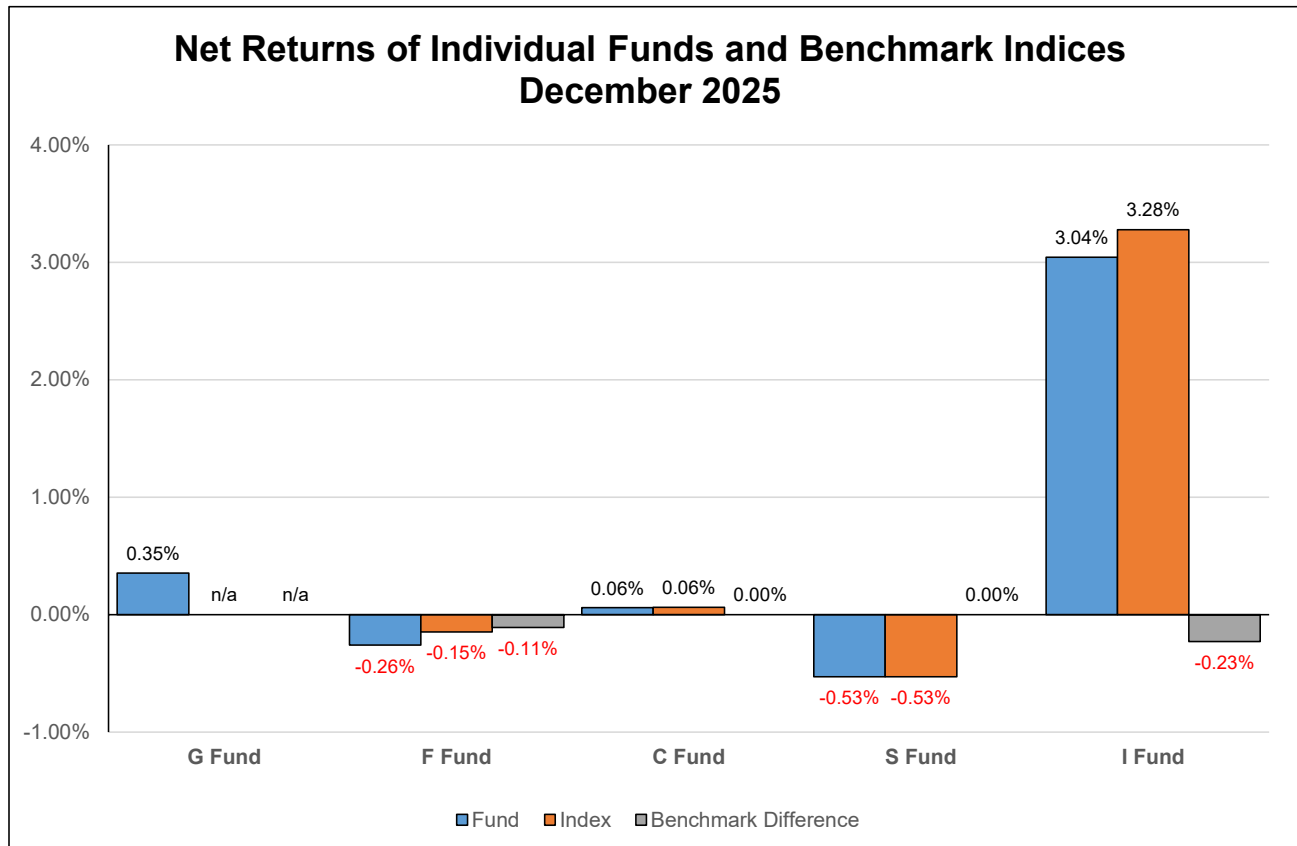
|                             | <b>1-Year</b> | <b>3-Year</b> | <b>5-Year</b> | <b>10-Year</b> |
|-----------------------------|---------------|---------------|---------------|----------------|
| <b>I Fund</b>               | 32.45%        | 17.81%        | 9.41%         | 8.70%          |
| <b>International Index*</b> | 32.01%        | 17.60%        | 9.13%         | 8.29%          |
| <b>Benchmark Difference</b> | 0.44%         | 0.20%         | 0.28%         | 0.41%          |

\* MSCI EAFE through July 31, 2024; MSCI ACWI IMI ex USA ex China ex Hong Kong thereafter.

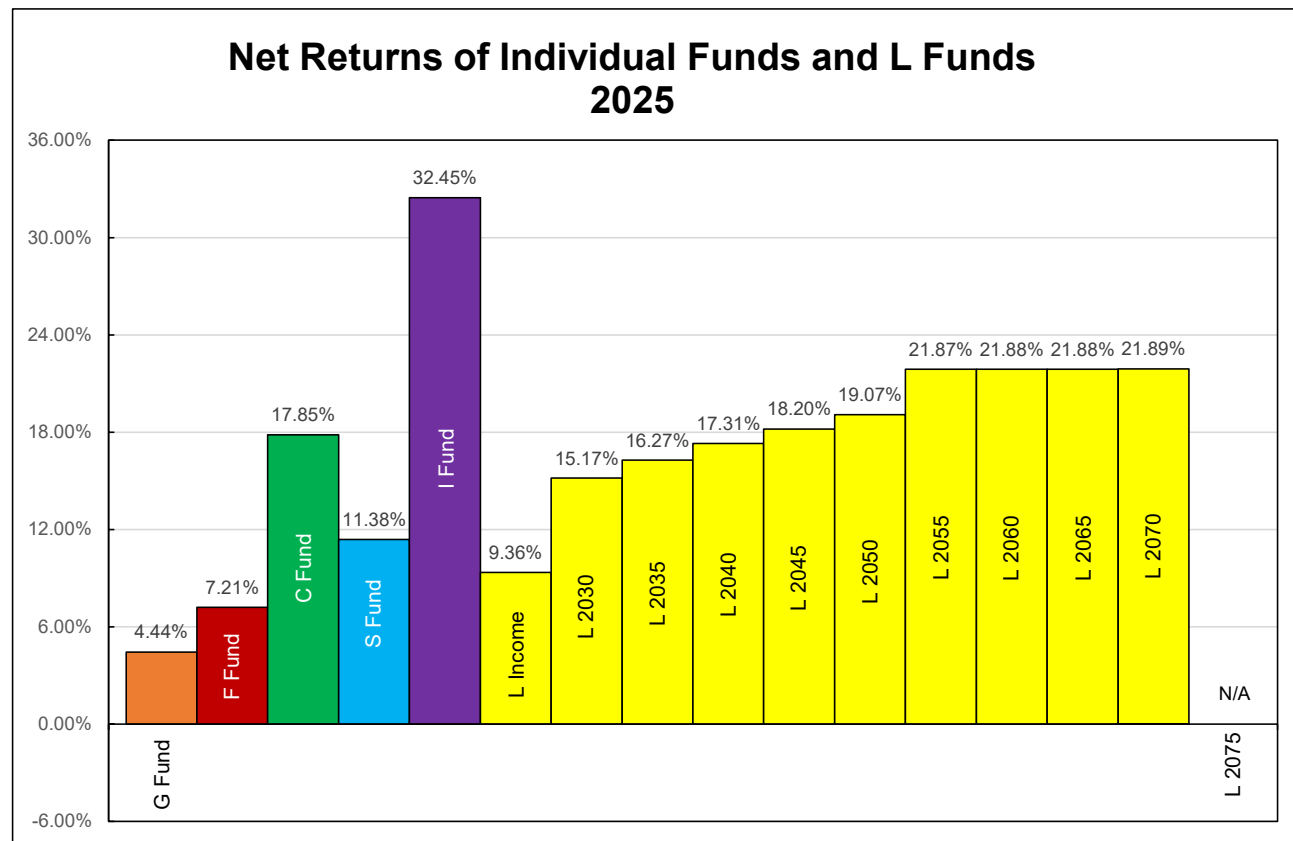
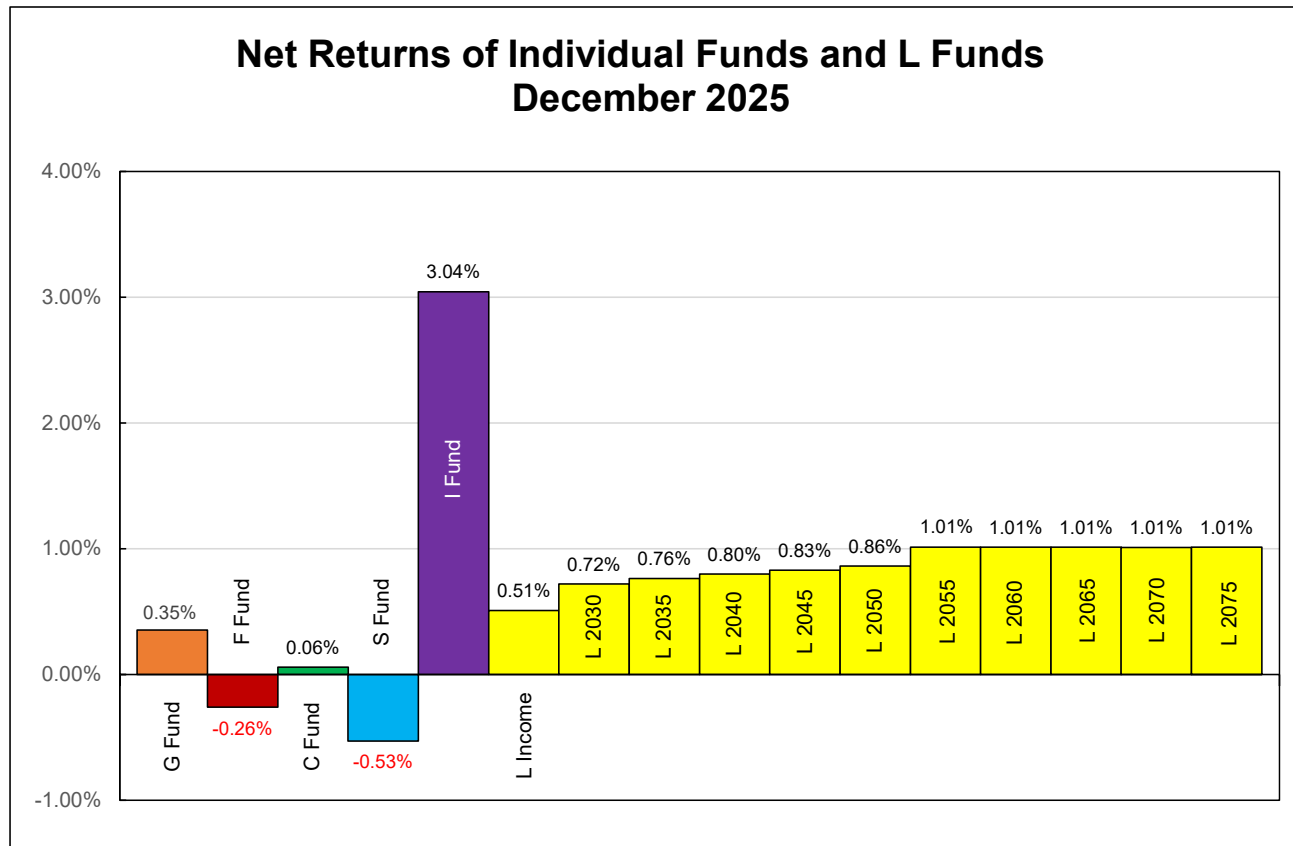
|                      | <b>Inception Date</b> | <b>1-Year</b> | <b>3-Year</b> | <b>5-Year</b> | <b>10-Year</b> |
|----------------------|-----------------------|---------------|---------------|---------------|----------------|
| <b>L Income Fund</b> | August 1, 2005        | 9.36%         | 8.57%         | 5.59%         | 5.11%          |
| <b>L 2030 Fund</b>   | August 1, 2005        | 15.17%        | 14.14%        | 8.42%         | 8.77%          |
| <b>L 2035 Fund</b>   | July 1, 2020          | 16.27%        | 15.10%        | 8.85%         | N/A            |
| <b>L 2040 Fund</b>   | August 1, 2005        | 17.31%        | 16.05%        | 9.28%         | 9.82%          |
| <b>L 2045 Fund</b>   | July 1, 2020          | 18.20%        | 16.86%        | 9.62%         | N/A            |
| <b>L 2050 Fund</b>   | January 31, 2011      | 19.07%        | 17.67%        | 9.99%         | 10.71%         |
| <b>L 2055 Fund</b>   | July 1, 2020          | 21.87%        | 20.45%        | 11.54%        | N/A            |
| <b>L 2060 Fund</b>   | July 1, 2020          | 21.88%        | 20.45%        | 11.54%        | N/A            |
| <b>L 2065 Fund</b>   | July 1, 2020          | 21.88%        | 20.45%        | 11.53%        | N/A            |
| <b>L 2070 Fund</b>   | July 26, 2024         | 21.89%        | N/A           | N/A           | N/A            |
| <b>L 2075 Fund</b>   | June 30, 2025         | N/A           | N/A           | N/A           | N/A            |

## Performance of TSP Funds

The charts below show the G, F, C, S, and I Fund net rates of return vs. their respective benchmark indices.

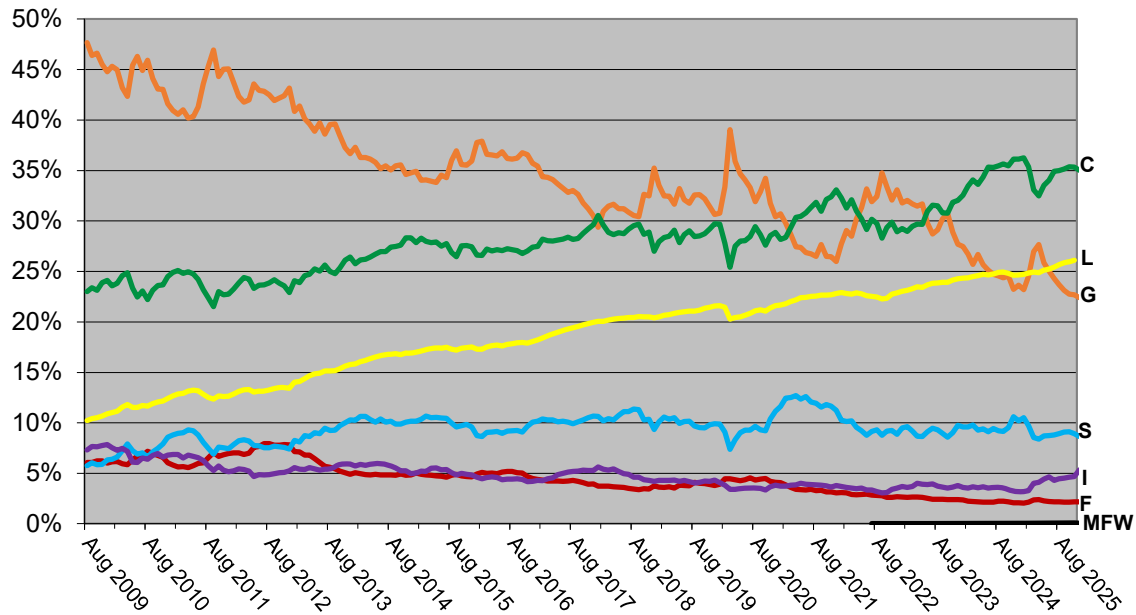


Net rates of return for the L Funds are shown below, along with comparable returns for the G, F, C, S, and I Funds.



## Asset Allocation

### Participant Asset Allocation History as of December 31, 2025

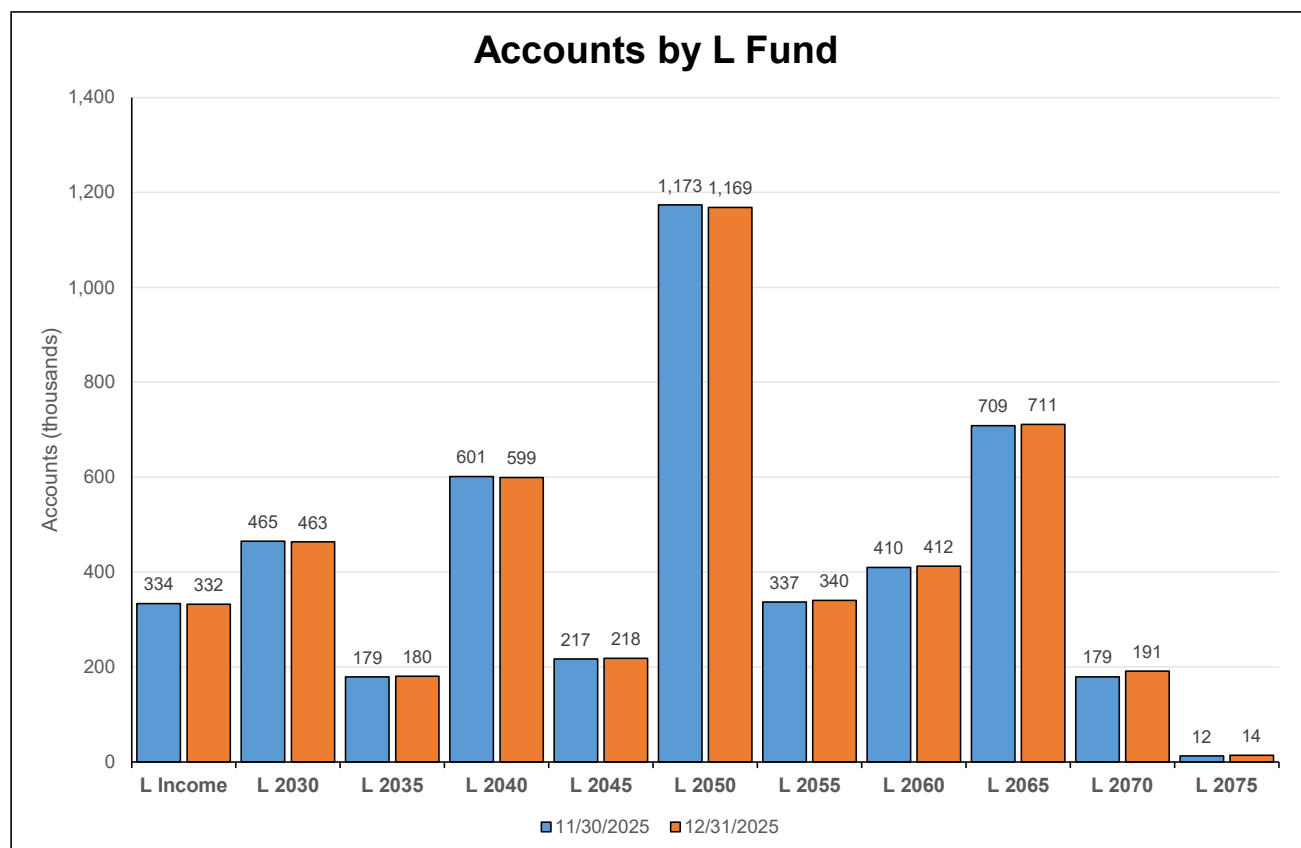
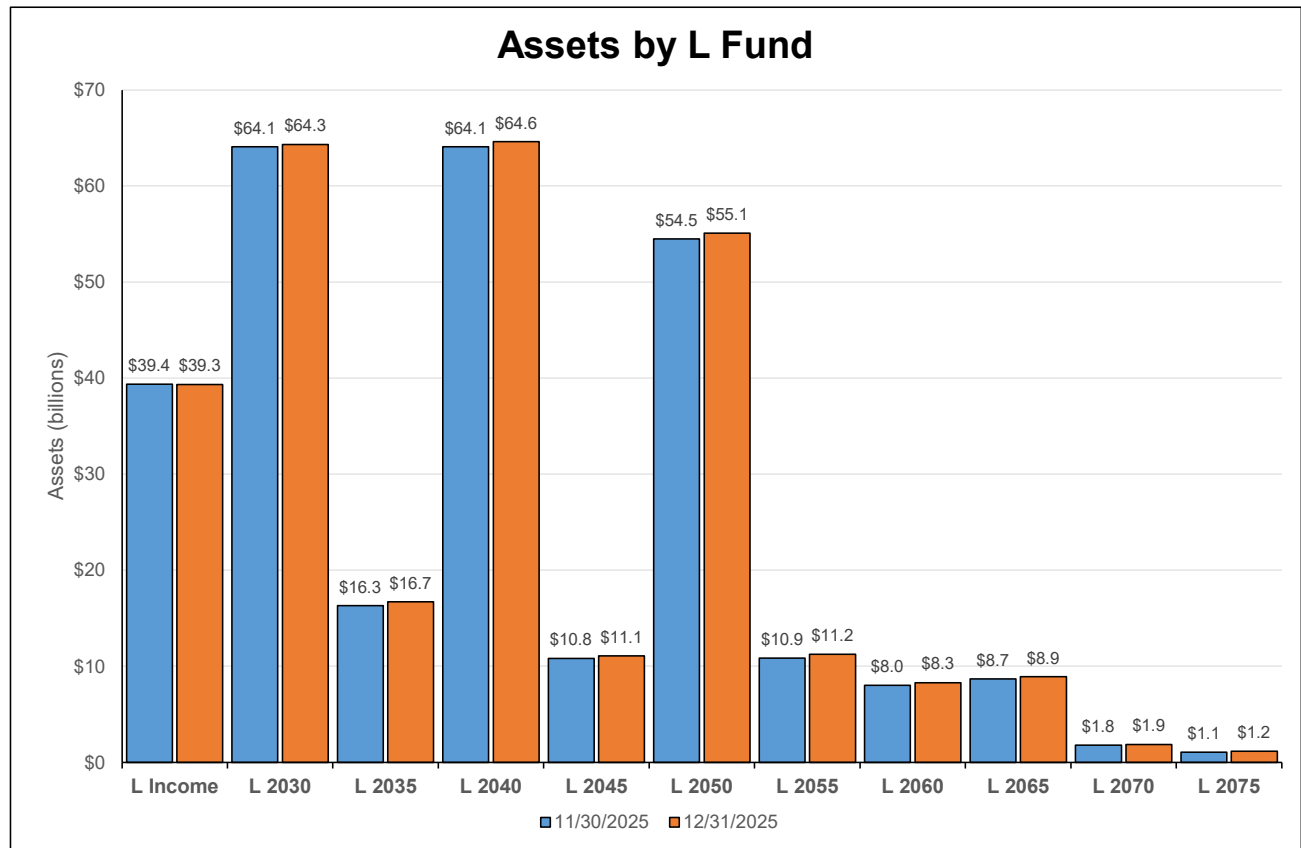


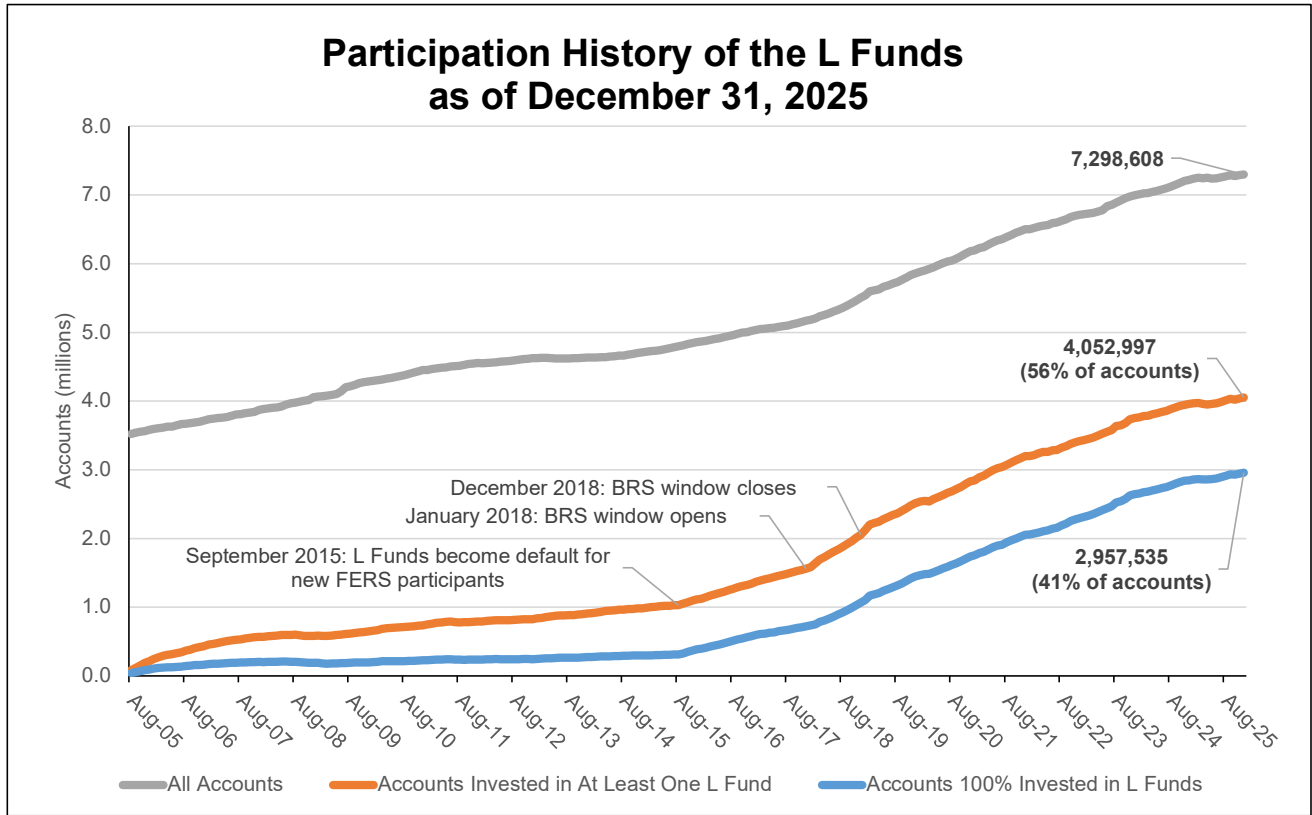
### Asset Allocation as of December 31, 2025

|                   | Participant Allocation |                   | Individual TSP Funds |                   |
|-------------------|------------------------|-------------------|----------------------|-------------------|
|                   | Assets<br>(Billions)   | Share of<br>Total | Assets<br>(Billions) | Share of<br>Total |
| <b>G Fund</b>     | \$240.5                | 22.4%             | \$317.7              | 29.6%             |
| <b>F Fund</b>     | \$23.3                 | 2.2%              | \$39.3               | 3.7%              |
| <b>C Fund</b>     | \$375.9                | 35.0%             | \$474.3              | 44.2%             |
| <b>S Fund</b>     | \$92.8                 | 8.6%              | \$117.4              | 10.9%             |
| <b>I Fund</b>     | \$57.3                 | 5.3%              | \$123.6              | 11.5%             |
| <b>L Funds</b>    | \$282.6                | 26.3%             | n/a                  | n/a               |
| <b><u>MFW</u></b> | <u>\$0.8</u>           | <u>0.1%</u>       | <u>\$0.8</u>         | <u>0.1%</u>       |
| <b>Total</b>      | \$1,073.2              | 100.0%            | \$1,073.2            | 100.0%            |

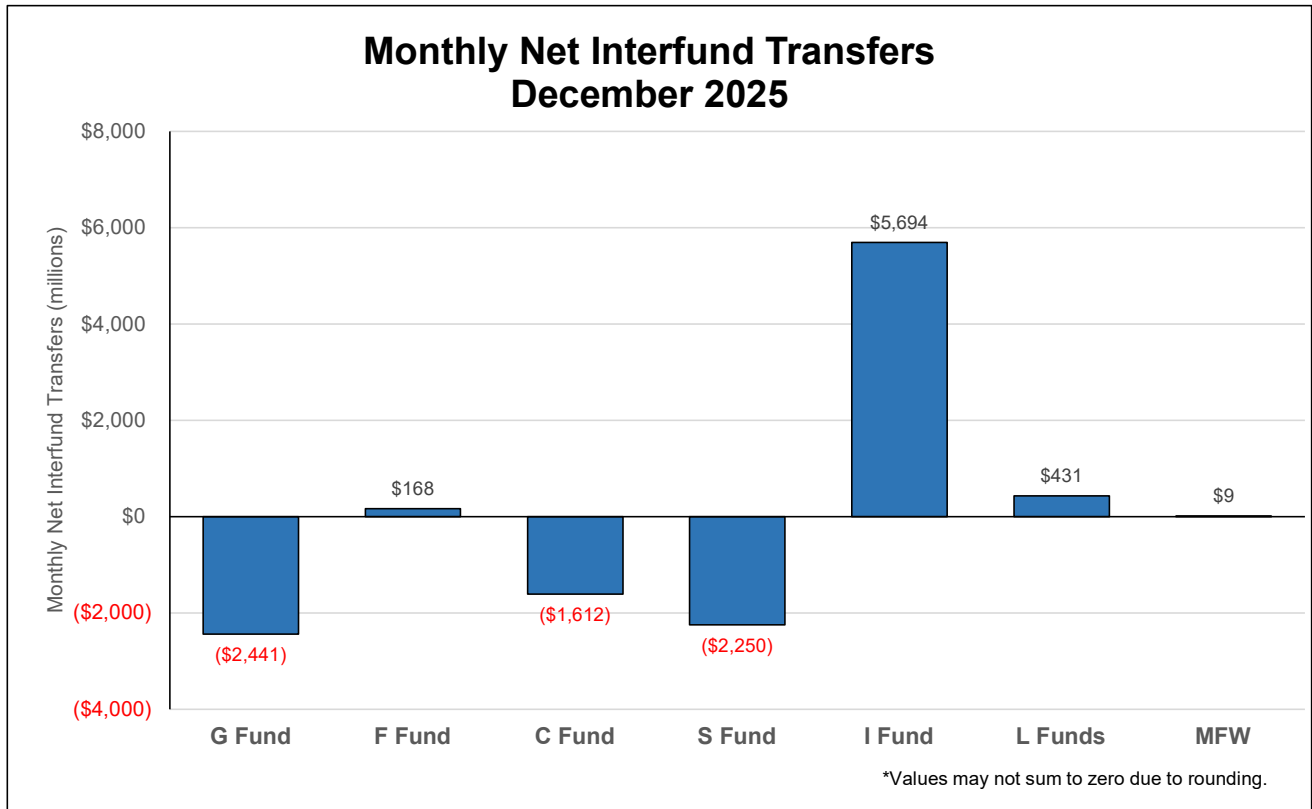
\*Components may not sum to totals due to rounding.

## Lifecycle (L) Funds





#### Interfund Transfer Activity





**PROXY VOTING – THIRD QUARTER 2025**

An audit of BlackRock's proxy voting conducted by ISS found no exceptions to BlackRock's established guidelines during the third quarter of 2025. An audit of State Street's proxy voting conducted by ISS found no exceptions to State Street's established guidelines during the third quarter of 2025.

Copies of the audit reports are provided in this report as Attachments 1 and 2. The ISS audit reports for the fourth quarter of 2025 are not yet available.

**CLASS ACTION SETTLEMENTS – THIRD QUARTER 2025**

BlackRock began the third quarter with 93 open claims. During the quarter, 17 claims were opened: three claims in the C Fund, 13 claims in the S Fund, and one claim in the I Fund. Eighteen claims were closed during the quarter. Five claims in the C Fund and 11 claims in the S Fund were settled for \$594,183 and \$2,528,309, respectively. Two S Fund claims were closed due to administrator action. Residual payments from 28 previously closed claims were \$444,211. Ninety-two claims remained open at the end of the quarter.

|        | <u>Open at<br/>Start of<br/>Quarter</u> | <u>Opened<br/>During<br/>Quarter</u> | <u>Closed<br/>During<br/>Quarter</u> | <u>Open<br/>Claims<br/>Outstanding</u> | <u>Total of Settled<br/>Claims in<br/>2025</u> |
|--------|-----------------------------------------|--------------------------------------|--------------------------------------|----------------------------------------|------------------------------------------------|
| F Fund | 3                                       | -                                    | -                                    | 3                                      | \$17,717                                       |
| C Fund | 23                                      | 3                                    | 5                                    | 21                                     | \$2,121,246                                    |
| S Fund | 64                                      | 13                                   | 13                                   | 64                                     | \$5,367,619                                    |
| I Fund | 3                                       | 1                                    | -                                    | 4                                      | \$288,804                                      |
| Total  | 93                                      | 17                                   | 18                                   | 92                                     | \$7,795,386                                    |

State Street began the third quarter with 41 open claims. During the period, sixteen claims were opened. Two claims were opened in the C Fund, 13 claims were opened in the S Fund, and one claim was opened in the I Fund. One claim in the C Fund and six claims in the S Fund were settled for \$12,713 and \$155,552, respectively. One claim in the C Fund and one claim in the S Fund were closed due to administrator action. Forty-eight claims remained open at the end of the quarter.

|        | <u>Open at<br/>Start of<br/>Quarter</u> | <u>Opened<br/>During<br/>Quarter</u> | <u>Closed<br/>During<br/>Quarter</u> | <u>Open<br/>Claims<br/>Outstanding</u> | <u>Total of Settled<br/>Claims in<br/>2025</u> |
|--------|-----------------------------------------|--------------------------------------|--------------------------------------|----------------------------------------|------------------------------------------------|
| F Fund | -                                       | -                                    | -                                    | -                                      | \$0                                            |
| C Fund | 4                                       | 2                                    | 2                                    | 4                                      | \$44,913                                       |
| S Fund | 35                                      | 13                                   | 7                                    | 41                                     | \$992,940                                      |
| I Fund | 2                                       | 1                                    | -                                    | 3                                      | \$0                                            |
| Total  | 41                                      | 16                                   | 9                                    | 48                                     | \$1,037,853                                    |

**ATTACHMENTS**

Attachment 1: Audit Report on BlackRock's Proxy Voting in the Third Quarter of 2025

Attachment 2: Audit Report on State Street's Proxy Voting in the Third Quarter of 2025

### **ANNUAL REVIEW OF INVESTMENT POLICY**

The G Fund investments produce long-term yields while incurring no market risk. I recommend reaffirmation of the current G Fund policy of investing solely in short-term maturities.

The F, C, S, and I Funds have tracked their respective indices and have incurred low trading costs. I recommend reaffirmation of the current F, C, S, and I Fund investment policies.

Therefore, I recommend the Board consider the following resolution:

WHEREAS the Federal Employees' Retirement System Act of 1986, as amended (5 U.S.C. § 8401 – et seq.) provides the Board members shall establish policies for the investment and management of the Thrift Savings Fund (5 U.S.C. § 8472(f) (1) and (2)); and

WHEREAS the Board members at this meeting have reviewed the investment performance and investment policies of the Government Securities Investment Fund, the Fixed Income Index Investment Fund, the Common Stock Index Investment Fund, the Small Capitalization Stock Index Investment Fund and the International Stock Index Investment Fund; and

WHEREAS the Board members are satisfied with the investment performance and investment policies of these Funds;

NOW THEREFORE BE IT RESOLVED that the current investment policies for the Government Securities Investment Fund, the Common Stock Index Investment Fund, the Fixed Income Index Investment Fund, the Small Capitalization Stock Index Investment Fund, and the International Stock Index Investment Fund are affirmed without change.



October 14, 2025

Ms. Tanya Levy-Odom  
Managing Director  
BlackRock Investment Stewardship  
BlackRock  
50 Hudson Yards  
New York, NY 10001

Dear Tanya,

Enclosed are the results of our review of US proxy votes by BlackRock for the 3<sup>rd</sup> quarter of 2025. Our review found that there were no exceptions to policy over this period.

Best regards,

 Recoverable Signature

 Andrew E. Linberg

Signed by: S-1-12-1-843232420-1216194982-1438749579-676836840/16fe4325-ce1b-4a55-a694-dece99c9ecd3/

Andrew E. Linberg  
Head of Custom Research – Americas

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**INSTITUTIONAL SHAREHOLDER SERVICES INC.**

702 King Farm Boulevard Suite 400  
Rockville, MD 20850

[ISSGOVERNANCE.COM](https://www.issgovernance.com)

## MEMORANDUM

The results of our review of BlackRock's 3<sup>rd</sup> quarter proxy voting for US meetings are as follows:

- Votes at 40 meetings were examined.
- Votes at 13 of the 40 meetings were for directors, auditors, and/or management say-on-pay (MSOP) only.
- At the 27 remaining meetings, there were 63 non-director/auditor/MSOP proposals.

The following table illustrates the votes involved by proposal type:

| Proposal                                                                  | Votes     |
|---------------------------------------------------------------------------|-----------|
| Executive stock plan                                                      | 10        |
| Advisory vote on golden parachute compensation                            | 6         |
| Frequency vote on MSOP                                                    | 3         |
| Reverse stock split                                                       | 6         |
| Issue shares for private placement                                        | 1         |
| Approve issuance of common stock upon exercise of warrants                | 3         |
| Approve increase in common stock                                          | 5         |
| Approve issuance of shares pursuant to securities purchase agreement      | 1         |
| Approve issuance of shares pursuant to an acquisition                     | 1         |
| Approve merger agreement                                                  | 5         |
| Approve sale of company assets                                            | 2         |
| Change state of incorporation                                             | 1         |
| Adjourn meeting                                                           | 16        |
| Amend certificate of incorporation to limit liability of certain officers | 1         |
| Amend articles                                                            | 1         |
| Shareholder proposal                                                      | 1         |
| <b>Total:</b>                                                             | <b>63</b> |

## INSTITUTIONAL SHAREHOLDER SERVICES INC.

702 King Farm Boulevard Suite 400  
Rockville, MD 20850

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- There were 10 votes cast on executive stock plans:
  - a) 6 votes were cast in favor of the plans (60 percent);
  - b) 4 votes were cast against the plans (40 percent);
    - i) 3 plans were opposed due to the presence of an evergreen provision;
    - ii) 1 plan was opposed as incentive arrangements are poorly structured
- There were 8 votes cast on mergers, acquisitions, and/or major corporate transactions, including an issuance of shares pursuant to an acquisition and sale of company assets; the votes were cast in favor of the transactions.
- There were 14 votes cast on management advisory votes on executive compensation:
  - a) 13 votes were cast in favor of the advisory votes (92.9 percent);
  - b) 1 vote was cast against the advisory votes (7.1 percent)
- There were 6 votes cast on management advisory votes on golden parachute compensation:
  - c) 5 votes were cast in favor of the advisory votes (83.3 percent);
  - d) 1 vote was cast against the advisory votes (16.7 percent)
- There was 1 vote cast on a shareholder proposal to report on political contributions; the vote was cast against the proposal.

There were no exceptions to policy this period.

November 5, 2025

Mr. Benjamin Colton  
Global Co-Head of Asset Stewardship  
State Street Global Advisors  
State Street Financial Center  
One Iron Street  
Boston, MA 02210

Dear Benjamin,

The Custom Research team has completed its Q3 2025 audit of SSgA vote recommendations. We examined 25 US and International meetings, containing a total of 281 agenda items. In reviewing these items against the SSgA policy document, we identified zero (0) errors in the application of SSgA's policy (for an overall error rate of 0%).

Please feel free to contact us should you have any questions.

Sincerely,

A handwritten signature in black ink that reads "Adam Lee".

Adam Lee  
Associate Director, Custom Research